

Memo

To: Flamingo Grill Management Team

From: Advertising firm of Haskell & Johnson [HJ]

Subject: Advertising Campaign Budget Allocation Recommendation

Advertising plan for Flamingo Grill's upcoming campaign, maximizing optimization and attracting at least 100,000 new customers within the allocated budget of \$279,000.

Television

15 ads → \$150,000 total

- First 10 ads → $10 \times 4,000 = 40,000$ new customers

- o Exposure: $10 \times 90 = 900$ exposure

- Next 5 ads → $5 \times 1,500 = 7,500$

- o Exposure: $5 \times 45 = 275$ exposure

Radio

33 ads → \$99,000 total

- First 15 ads → $15 \times 2,000 = 30,000$ new customers

- o Exposure: $15 \times 25 = 375$ exposure
- Next 18 ads → $18 \times 1,200 = 21,600$ new customers
- o Exposure: $18 \times 20 = 360$ exposure

Online

30 ads → \$30,000 total

- First 20 ads → $20 \times 1,000 = 20,000$ new customers

- o Exposure: $20 \times 10 = 200$ exposure

- Next 10 ads → $10 \times 800 = 8,000$ new customers

- o Exposure: $10 \times 5 = 50$ exposure

Total New Customers: 127,100

Total Budget Spent: \$279,000

This optimized allocation leverages television for high exposure, radio for balanced reach, and online advertising for cost efficiency, ensuring both maximum return on investment and campaign success.